

Margin Expansion Process In Hospitals

Sector : Hospitals



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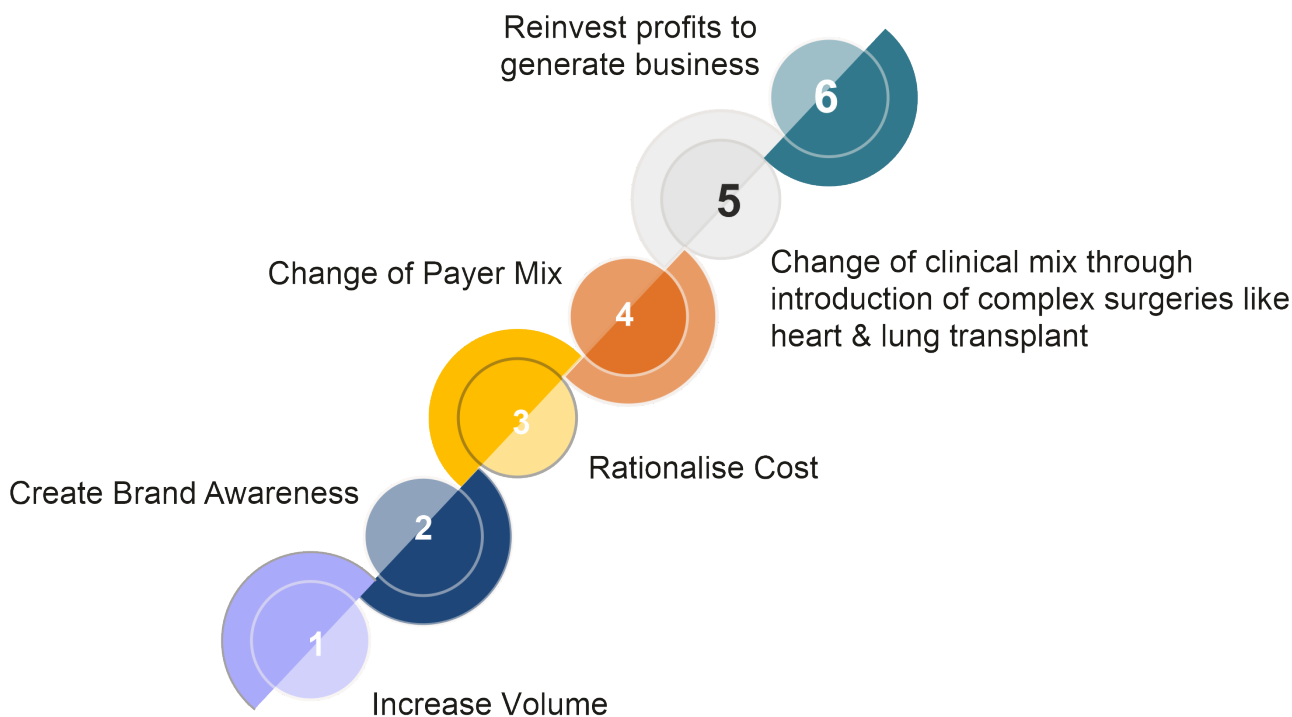
Equity Research Desk

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Evolution process of a profitable hospital:

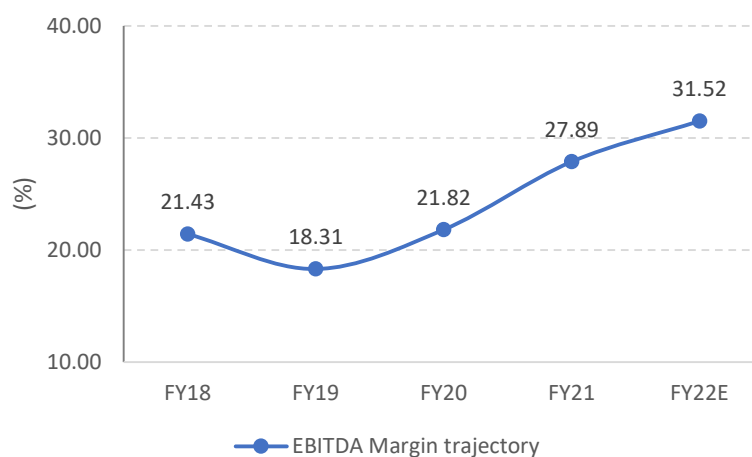
Ever wondered what leads to margin expansion in hospital sector? We try to explain this by our recent initiation on KIMS Hospital

Exhibit 1: Margin Expansion Process in hospitals



Source : Dalal & Broacha Research

Exhibit 2: EBITDA Margin trajectory of KIMS



Source : Dalal & Broacha Research (Note : Loss on fair value ignored for FY18 & FY19)

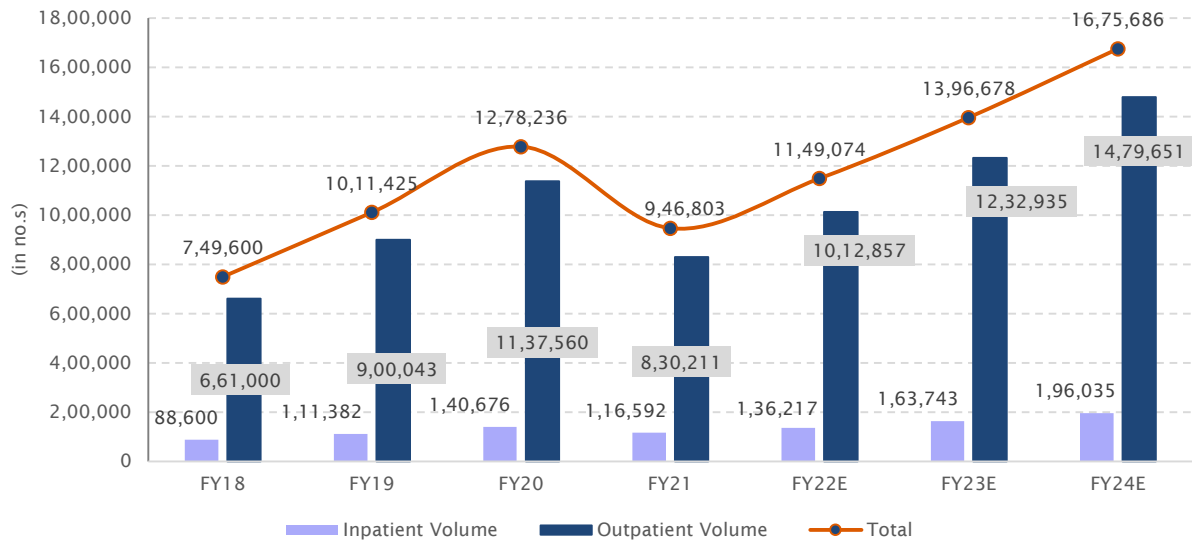
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Step 1: Increase volumes

KIMS' inpatient & out-patient volume has grown 1.7x between FY18 to FY20 majorly driven through doctor participation model & acquisitions. Nearly 300 doctors own ~9% equity in the company who are the key drivers of hospital business. (FY21 ignored on account of covid-19 pandemic)

Exhibit 3: Upward trajectory of Inpatient & out-patient volumes of KIMS Hospital

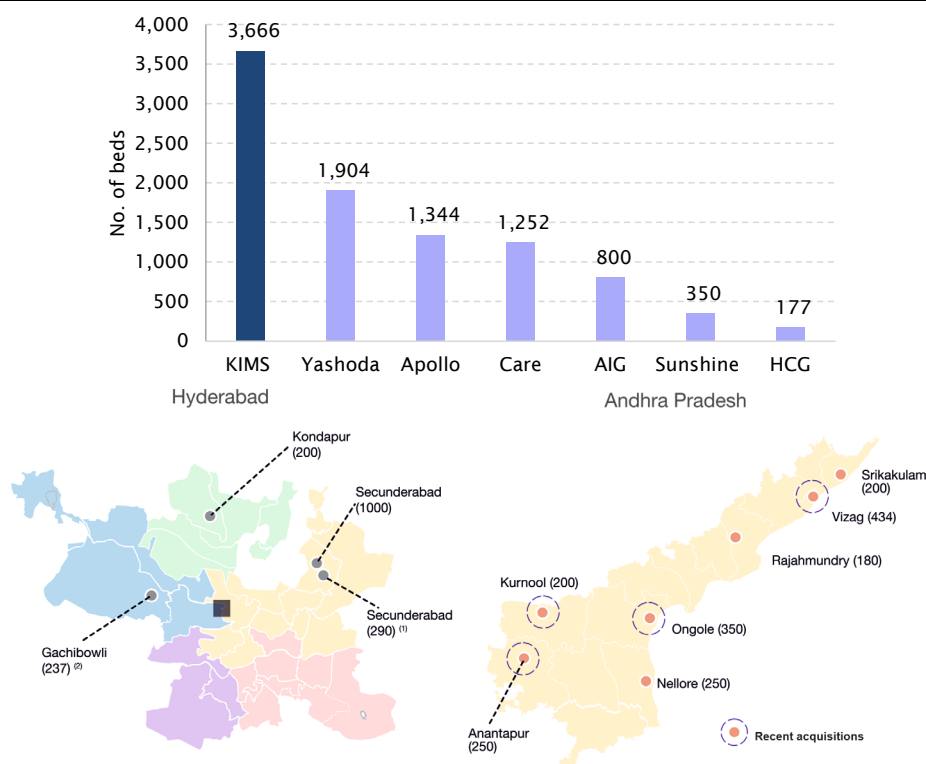


Source : Dalal & Broacha Research

Step 2: Create brand awareness

KIMS' being a regional leader with ~1.9x capacity that of second largest player in AP & Telangana expanded its network by 1/3rd capacity in last 4 years in peripheral region thereby creating its enhanced brand image in telugu speaking states

Exhibit 4: Bed Capacity & expansion of network



Source : Company, Dalal & Broacha Research

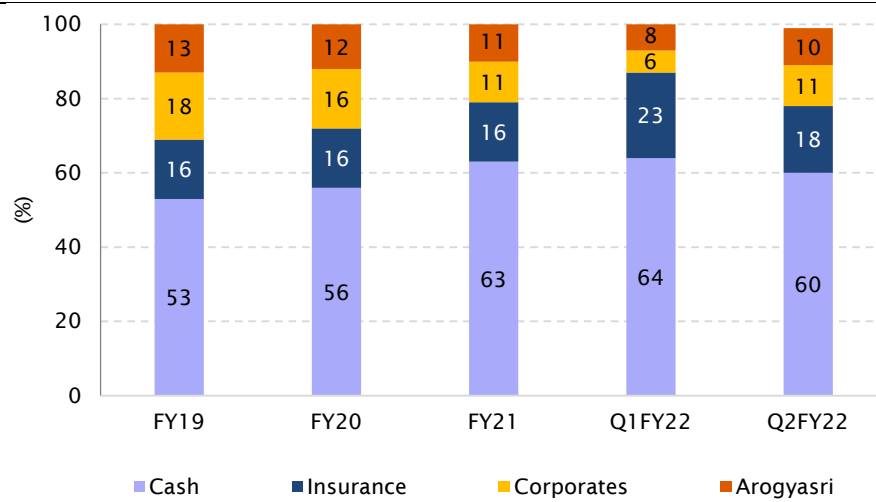
Step 3: Rationalizing cost

Once the hospital has volumes it can negotiate its raw material cost, administration & other expenses as a % to overall operating income reduces thereby leading to operating leverage. Employee cost & consultancy charges cannot be adjusted much as they grow proportionately with increase in beds.

Step 4: Change of payer mix

The next ideal step in margin expansion process is to change the payer mix which further enhances margin. KIMS' corporate & aarogyasri payer mix fell from 31% in FY19 to 21% to Q2FY22 which are usually low margin contributors indicating better payer mix & margin profile.

Exhibit 5: Payer Mix

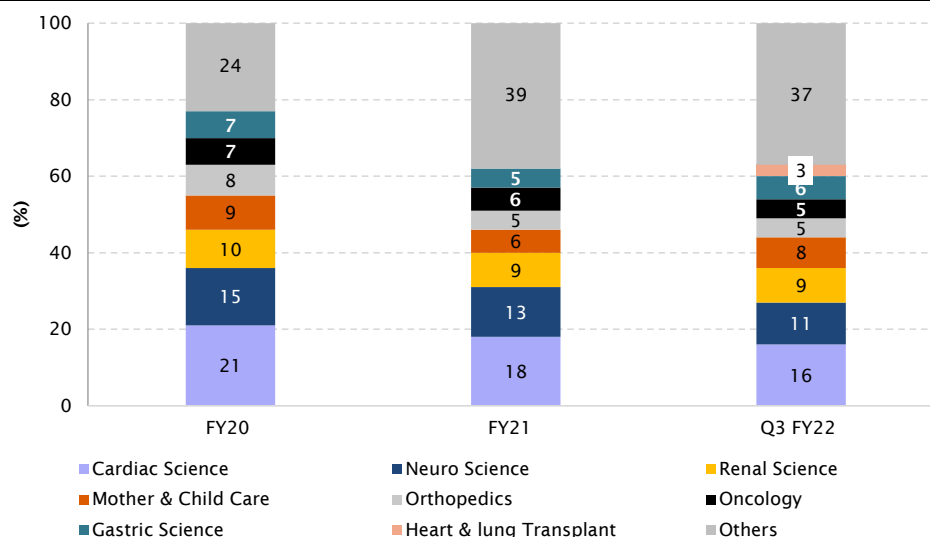


Source : Company, Dalal & Broacha Research

Step 5: Change of clinical mix

Post increase in volumes & changing payer mix, good doctors with rich experience tend to join the organisation which leads to introduction of complex surgeries thereby changing the overall clinical mix which further enhances the margins. KIMS' introduction of complex surgeries like heart & lung transplant which was added in FY21 at flagship secunderabad facility now contributed 3% of overall revenue in Q3FY22.

Exhibit 6: Clinical Mix



Source : Company, Dalal & Broacha Research

Step 6: Reinvesting profits to generate more business

Once the company sees margin expansion EBITDA increases drastically & good EBITDA to OCF conversion (KIMS EBITDA to OCF conversion is >80% due to low institutional mix) leaves company with abundance cash & same gets reinvested for acquisitions or brownfield & greenfield expansion. KIMS acquired 51.07% stake in sunshine hospitals for ~362 Crs.

Recommendation Summary

Date	Rating	Report Type	Reco. Price	Target	Report
16-Mar-22	Buy on Dips	Initiating Coverage	1,330	1,561	Click to download

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